"THE OVERARCHING THEME OF THE BUDGET IS RESTORATION OF GROWTH AND CREATING GAINFUL EMPLOYMENT"

–T.V. SOMANATHAN
Finance Secretary





REUTERS

ber, former Union secretary of the ministry of roads transport and highways, says that the government has made its intent to push infrastructure creation clear but "we shouldn't be taking our eyes off the private sector. The government is going the extra mile; they have done a great job in putting allocations in place. An equally special effort should be made to get the private sector in". According to a written reply by roads transport minister Nitin Gadkari in Parliament, private sector investment in road construction till November 2021 stood at Rs 15,164.2 crore; in 2020-21, it was Rs 12,475.5 crore and Rs 21,926 crore in 2019-20.

The Modi government has been working with different models of public-private partnership and is constantly reviewing model concession agreements of various modes of road construction under PPP. There is a concern that 25,000 km of highway expansion in FY2023 might be too ambitious, considering the average was 6,000 km in the current fiscal for nine months and 13,200 km in the last fiscal. Measures like lowering the eligibility criteria in Hybrid Annuity Model projects and making monthly payments to the concessionaire instead of milestone-based payments have helped. A study by CredAvenue found that only 5 per cent of the projects to be executed till FY25 had been completed till November 2020. In FY21, 13,298 km of highways were constructed across India.

ON THE FAST TRACK

The other big infra push in fiscal 2022-23 will be for the railways, which is gearing up to carry 8,595 million passengers, almost 2.5 times the number it carried in the previous year, apart from ferrying 1,475 million tonnes of cargo. The railways has set a revenue target of Rs 2.39 lakh crore for fiscal 2023, 18 per cent higher than 2021-22. Sitharaman also announced provisions for two of railways minister Ashwini Vaishnaw's pet projects. One of them is 'Kavach', the indigenously developed signals technology, and the other is to scale up the production of Vande Bharat trains and introduce 400 such new train sets over the next three years.

THE NUTS AND BOLTS

AGGREGATE CAPEX
(Rs lakh crore)

